



Republic of the Philippines  
Province of Camarines Norte  
**MUNICIPALITY OF DAET**



**OFFICE OF THE SANGGUNIANG BAYAN**

**EXCERPTS FROM THE MINUTES OF THE 36<sup>TH</sup> REGULAR SESSION OF THE HONORABLE SANGGUNIANG BAYAN OF DAET HELD VIA VIRTUAL REMOTE SESSION (ONLINE PLATFORM) IN DAET, CAMARINES NORTE ON THE 27<sup>TH</sup> DAY OF SEPTEMBER, 2021 AT 9:00 A.M.**

**PRESENT:**

**HON. ROSA MIA L. KING**

Municipal Vice-Mayor/ Presiding Officer

**MUNICIPAL COUNCILORS**

HON. MA. ELIZA H. LLOVIT

HON. TOMASITO SANTIAGO C. TURINGAN

HON. APOLONIO B. PANONG

HON. FELIX C. ABAÑO

HON. WILLIAM CARLO R. AVILA

HON. MARLON T. BANDELARIA

HON. ROSSANO C. VALENCIA

HON. NESTOR F. DALIDA

HON. PEDRO S. MUSA-LNB

HON. JUDY ROSE T. GALLARDO-SKMF

**ABSENT:**

NONE

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**Resolution No. 306-2021**

**RESOLUTION ADOPTING AN ORDINANCE AMENDING SECTION 3 (H) OF MUNICIPAL ORDINANCE NO. 421-2021 OF THE MUNICIPALITY OF DAET, CAMARINES NORTE PURSUANT TO THE REVIEW ACTION OF THE SANGGUNIANG PANLALAWIGAN OF CAMARINES NORTE**

**WHEREAS**, the Municipality of Daet, Camarines Norte enacted Municipal Ordinance No. 421-2021 granting loyalty award to the qualified officials and employees of the Local Government Unit of Daet, Camarines Norte beginning CY 2021, providing for policies thereof and authorizing the allocation of fund thereof, pursuant to CSC MC No. 42 s. 1992 as revised by CSC MC No. 6 s. 2002;

**WHEREAS**, the Sangguniang Panlalawigan returned the said Ordinance citing that the entitlement should be granted upon reaching the milestone year of the employee which does not always fall in September. Further, the LGU is reminded that the grant is a lawful expenditure of each specific milestone year and shall be taken up in the accounts of that year;

**WHEREAS**, based on the letter reply of DBM Regional Office No. V through Director IV Renato M. De Vera to the query of the Office of the Sangguniang Bayan, it explains that the Local Cash Award rates as prescribed in the Commission on Audit (COA) Circular No. 2013-003A dated September 18, 2013 are as follows:

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10<sup>th</sup> year – from P 5,000.00 to P 10,000.00  
15<sup>th</sup> year – from P 2,500.00 to P 5,000.00  
20<sup>th</sup> year – from P 2,500.00 to P 5,000.00  
25<sup>th</sup> year – from P 2,500.00 to P 5,000.00  
30<sup>th</sup> year – from P 2,500.00 to P 5,000.00  
35<sup>th</sup> year – from P 2,500.00 to P 5,000.00  
40<sup>th</sup> year – from P 2,500.00 to P 5,000.00;

**WHEREAS**, the same letter explains that the Loyalty Award is paid up to a maximum of P 1,000.00 for every year of service, on the first ten (10) years of continuous and satisfactory service in government, and every five (5) years thereafter;

**WHEREAS**, there is a need to amend Section 3 (H) of Municipal Ordinance No. 421-2021 to coincide with the review action of the Sangguniang Panlalawigan;

**NOW THEREFORE**, after due deliberation, on motion of Councilor William Carlo R. Avila, with Councilor Tomasito Santiago C. Turingan as co-movant, seconded by Councilors Judy Rose T. Gallardo, Felix C. Abaño, Rossano C. Valencia, Pedro S. Musa and Ma. Eliza H. Llovit;

**BE IT RESOLVED**, as it is hereby resolved, to adopt:

**MUNICIPAL ORDINANCE NO. 430-2021**

**AN ORDINANCE AMENDING SECTION 3 (H) OF MUNICIPAL ORDINANCE NO. 421-2021 OF THE MUNICIPALITY OF DAET, CAMARINES NORTE PURSUANT TO THE REVIEW ACTION OF THE SANGGUNIAN PANLALAWIGAN OF CAMARINES NORTE**

**BE IT ORDAINED**, by the Honorable Sangguniang Bayan of Daet, that:

**SECTION 1. Title.** This Ordinance shall be known as "An Ordinance Amending Section 3 (H) of Municipal Ordinance No. 421-2021 of the Municipality of Daet, Camarines Norte Pursuant to the Review Action of the Sangguniang Panlalawigan of Camarines Norte.

**SECTION 2.** Section 3 (H) of Municipal Ordinance No. 421-2021 of the Municipality of Daet, Camarines Norte is hereby amended to read as follows:

***Section 3.***

A. xxx...

*H. The award shall be granted to the officials or employees upon reaching their milestone year or employee's completion of date of employment tenth (10<sup>th</sup>) anniversary or the next five (5) years thereafter. For the initial year of the grant, employees who reached their milestone year before the approval of this ordinance shall be awarded on September 2021 during the celebration of Civil Service Month.*



**SECTION 3. Repealing Clause.** Section 3 (H) of Municipal Ordinance No. 421-2021 is hereby repealed, amended or modified accordingly.

**SECTION 4. Separability Clause.** The provisions of this Ordinance are hereby declared separable. In the event that one or more provisions are held illegal or unconstitutional, the validity of the other provisions shall not be affected.

**SECTION 5. Effectivity.** This Ordinance shall take effect upon approval.

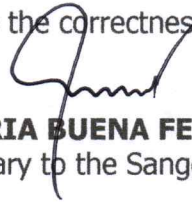
**ENACTED.**

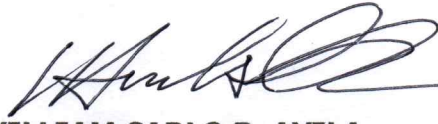
**RESOLVED FURTHER,** to furnish copies hereof, the Mayor's Office, Municipal Budget Office, Municipal Accounting Office, Municipal Treasurer's Office, the Sangguniang Panlalawigan and all others concerned for their information and appropriate action;

**CARRIED UNANIMOUSLY.**

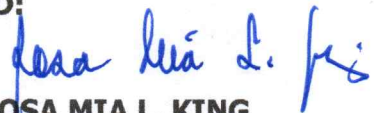
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**I HEREBY CERTIFY** to the correctness of the foregoing.

  
**MARIA BUENA FE Z. LUARES**  
Secretary to the Sangguniang Bayan

  
**COUN. WILLIAM CARLO R. AVILA**  
Proponent

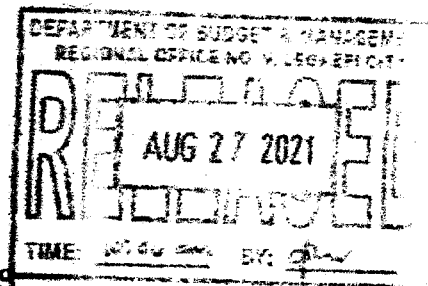
**ATTESTED:**

  
**ROSA MIA L. KING**  
Municipal Vice-Mayor/ Presiding Officer

**APPROVED**

  
**BENITO S. OCHOA**  
Municipal Mayor

Date: OCT 01 2021



REPUBLIC OF THE PHILIPPINES  
DEPARTMENT OF BUDGET AND MANAGEMENT  
REGION V

August 26, 2021

**COUNCILOR WILLIAM CARLO R. AVILA**

Chairman, Sangguniang Bayan Committee on Personnel  
Daet, Camarines Norte

Dear Councilor Avila:

This pertains to the following queries you sent through electronic mail on August 17, 2021, on the grant of Loyalty Cash Award (LCA) to officials and employees of the local government unit (LGU) of Daet:

1. How much is the maximum loyalty cash pay that can be granted to officials and employees?;
2. Can those employees on their 20<sup>th</sup>, 30<sup>th</sup> and 40<sup>th</sup> years of service be granted a one-time loyalty cash pay equivalent to their years of service, i.e., 20<sup>th</sup> year of continuous service - ₱20,000.00, 30<sup>th</sup> year of continuous service - ₱30,000.00, 40<sup>th</sup> year of continuous service - ₱40,000.00; and
3. Is the loyalty cash pay chargeable against the Personal Services (PS) of the LGU and subject to PS limitation?

Relevant to your 1<sup>st</sup> query are the following provisions of Civil Service Commission (CSC) Memorandum Circular (MC) No. 6, s. 2002<sup>1</sup> dated March 1, 2002, as follows:

- "1. A loyalty award is granted to all officials and employees, in the national and local governments, including those in the state college and universities (SUCs) and government-owned and controlled corporations (GOCCs) ith original charter, who rendered ten (10) years of continuous and satisfactory service in the government.*

xxx

<sup>1</sup> Revised Policies on the Grant of Loyalty Award

6. *In addition to the loyalty memorabilia/souvenir, a cash gift which shall not be less than Php500.00 but not more than Php1,000.00 for every year of service shall be given to qualified officials or employees."*

The LCA rates are also prescribed in Commission on Audit (COA) Circular No. 2013-003A<sup>2</sup> dated September 18, 2013, as follows:

|                         |                              |
|-------------------------|------------------------------|
| 10 <sup>th</sup> year - | from P5,000.00 to P10,000.00 |
| 15 <sup>th</sup> year - | from P2,500.00 to P5,000.00  |
| 20 <sup>th</sup> year - | from P2,500.00 to P5,000.00  |
| 25 <sup>th</sup> year - | from P2,500.00 to P5,000.00  |
| 30 <sup>th</sup> year - | from P2,500.00 to P5,000.00  |
| 35 <sup>th</sup> year - | from P2,500.00 to P5,000.00  |
| 40 <sup>th</sup> year - | from P2,500.00 to P5,000.00  |

In view of the foregoing, the Loyalty Award is paid, up to a maximum of P1,000.00 for every year of service, on the first ten (10) years of continuous and satisfactory service in government, and every five (5) years thereafter. Moreover, the grant of loyalty pay is chargeable against the PS appropriations of the LGU and is subject to the PS limitation as provided in Section 325(a) of the Local Government Code of 1991<sup>3</sup>.

Thank you.

Very truly yours,

**RENATO M. DE VERA, MNSA, CESO III**  
Director IV

ABA/FEM/AN

CC: MAYOR BENITO S. OCHOA  
Daet, Camarines Norte

<sup>2</sup> Amendment to COA Circular No. 2013-003 dated January 30, 2013 re: Reiteration of Audit Disallowance of Payments without Legal Basis of Allowances, Incentives, and Other Benefits of Government Officials and Employees in the NGAs, LGUs and GOCCs and their Subsidiaries

<sup>3</sup> Republic Act (RA) No. 7160